



United States
Attorney's Office
Western District of Texas



Skilled Nursing Facility and Acute Care Hospital to Pay \$6.5 Million to Settle Civil False Claims Act Allegations

Friday, February 28, 2025

For Immediate Release

U.S. Attorney's Office, Western District of Texas

PAO - WDTX

USATXW-MediaInquiry@usa.doj.gov

SAN ANTONIO – Providence Park, Inc., doing business as Ascension Living Providence Village, and Ascension Providence, formerly known as Providence Health Services of Waco, have agreed to pay the United States and the State of Texas \$6,526,851.64 to resolve allegations under the Federal False Claims Act and the Texas Health Care Program Fraud Prevention Act.

The United States alleged that Providence Park, which owns and operates a skilled nursing facility in Waco, submitted medically unnecessary Ultra-High Resource Utilization Group therapy claims to federal healthcare programs. The United States further alleged that Ascension Providence, which owns and operates an acute care hospital in Waco, submitted false claims to federal healthcare programs for individual outpatient therapy services at the Lacy Lakeview Clinic when group therapy was being provided, and for therapy services at Woodway, Providence Sports & Physical Therapy, and Lacy Lakeview when there was no plan of care signed by a physician.

"My office will hold providers accountable when they submit inaccurate claims or seek reimbursement for medically unnecessary services," said Acting United States Attorney Margaret F. Leachman of the Western District of Texas. "I encourage providers that identify instances of improper billing to work proactively to remedy the issue, as happened in this case."

Providence Park and Ascension Providence received cooperation credit under the terms of the settlement pursuant to the Department of Justice's Guidelines for Taking Voluntary Disclosure, Cooperation, and Remediation into Account in False Claims Act Matters. They cooperated with the United States' investigation by, among other things, disclosing the results of an internal investigation at Ascension Providence that resulted in an overpayment refund to Medicare, voluntarily identifying

overpayments for outpatient therapy services at Ascension Providence pursuant to the Department of Health and Human Services Office of Inspector General Healthcare Fraud Self-Disclosure Protocol, and identifying corrective actions to address the issues identified in the self-disclosure.

The civil settlement resolved a lawsuit filed under the *qui tam* or whistleblower provision of the False Claims Act, which permits private parties to file suit on behalf of the United States for false claims and share in a portion of the government's recovery. The *qui tam* lawsuit is captioned *United States and Texas ex rel. Bland and Ellison v. Ascension Health Senior Care, et al.*, No. 5:21-CV-269 (W.D. Tex.).

Assistant United States Attorney Thomas Parnham negotiated the settlement on behalf of the United States.

The claims resolved by the settlement are allegations only and there has been no determination of liability.

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Jesus Espinosa, a U.S. Customs and Border Protection officer, was arrested for charges related to his alleged false reporting of details involving excessive use of force

July 20, 2026



Western District of Texas

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